

Sanctions and High-Risk Jurisdictions Policy

Beneficiary screening, prohibited destinations and correspondent banking controls

Reference SAN-POL-002 | Version 9.0 | Owner: Group Sanctions Compliance

1. Purpose and legal basis

This policy sets out how cross-border payment instructions are screened against sanctions regimes and how jurisdictional risk is scored. It implements the obligations arising from the applicable United Nations, European Union, United States OFAC, United Kingdom OFSI and Swiss SECO measures, and the Financial Action Task Force public statements on jurisdictions under increased monitoring.

Screening is applied to the beneficiary bank country, the beneficiary account, the ordering customer and any intermediary institution named in the instruction. A hit on any one of those four is sufficient to hold the instruction.

2. Prohibited and restricted jurisdictions

Jurisdictional risk is expressed as two lists. The first, in section 2.1, carries comprehensive or sectoral measures and blocks the instruction outright. The second, in section 3, carries no sanctions but demands beneficial-ownership evidence above a monetary floor. An instruction is screened against both lists on the beneficiary bank country recorded on the payment.

2.1 Comprehensive measures

The jurisdictions below are subject to comprehensive or near-comprehensive measures. A payment whose beneficiary bank is located in any of them is blocked pending second-line sanctions review, regardless of amount, and is never released on a first-line decision.

ISO-2	Jurisdiction	Regime
IR	Iran	Comprehensive - UN, EU, OFAC, SECO
KP	North Korea	Comprehensive - UN, EU, OFAC, SECO
SY	Syria	Comprehensive - EU, OFAC, SECO
CU	Cuba	Comprehensive - OFAC
RU	Russian Federation	Sectoral and financial - EU, OFAC, OFSI, SECO
BY	Belarus	Sectoral and financial - EU, OFAC, SECO
AF	Afghanistan	Targeted - UN, EU, OFAC
MM	Myanmar	Targeted - EU, OFAC
VE	Venezuela	Targeted, government sector - OFAC

2.2 Consequences of a hit

A beneficiary bank country appearing in the table above is by itself a sufficient basis for escalation. The instruction is not a permitted exception merely because the beneficiary is a private individual, because the amount is small, or because the customer has transacted with that jurisdiction before without a report being filed. Prior unreported activity to a listed jurisdiction is itself a look-back trigger.

Payments routed through a correspondent in a listed jurisdiction are treated identically to payments whose ultimate beneficiary is in that jurisdiction. Routing through an unlisted intermediary does not cleanse the instruction.

3. Offshore and secrecy jurisdictions

The following jurisdictions are not subject to sanctions but present elevated beneficial-ownership opacity: Panama, the Cayman Islands, the Seychelles, the British Virgin Islands, the Bahamas and Belize. Activity to these destinations is permitted, but a single instruction above 25,000 currency units to a beneficiary bank in one of them requires documented beneficial-ownership evidence on the customer file before release.

- Verify the beneficiary is not a shell entity incorporated within the previous twelve months.
- Obtain the ultimate beneficial owner, not merely the registered agent.
- Where the beneficiary is a trust or foundation, obtain the settlor and the class of beneficiaries.
- Record the commercial rationale. 'Investment' without a named instrument is not a rationale.

4. Wire and correspondent banking controls

Wire and SWIFT instructions carry the highest per-instruction value in the book and the least visibility into the onward chain. Two controls apply on top of list screening: an amount-based enhanced review on individual instructions, and a pattern-based control on the geographic spread of a customer's instructions over time.

4.1 High-value SWIFT instructions

A SWIFT instruction above 75,000 currency units to a beneficiary bank outside the domestic booking jurisdiction is subject to enhanced review before release. The reviewer confirms the beneficiary bank's regulatory status, the presence of complete originator information under the FATF travel rule, and the consistency of the payment with the customer's declared business.

Incomplete originator or beneficiary information is a standalone escalation. An instruction that omits the ordering customer's address, or that names a beneficiary only as an account number, must not be released on the basis that the correspondent will complete it downstream.

4.2 Cross-border fan-out

Fan-out is the pattern in which one customer sends wire or SWIFT instructions above 10,000 currency units to beneficiary banks in five or more distinct countries inside a rolling 30-day window. Fan-out is characteristic of layering: the purpose is to break the audit trail by dispersing value across jurisdictions and correspondent relationships faster than any single investigator can follow it.

- Establish whether the customer's declared business plausibly requires that geographic spread.
- Check for repeated use of the same beneficiary name across several jurisdictions.
- Check whether any leg of the fan-out terminates in a listed or offshore jurisdiction.
- Where fan-out coincides with a sanctioned-jurisdiction leg, treat the whole pattern as one case, not as separate alerts.

5. Customer domicile and residual risk

Customer domicile is a contributing factor, never a conclusion. A customer resident in a higher-risk jurisdiction who transacts domestically and transparently presents lower residual risk than a customer resident in a low-risk jurisdiction who wires value into a comprehensively sanctioned one. Analysts must score the flow, not the passport.

Where a customer's activity has triggered a sanctions rule, the analyst must record the specific instruction identifiers that caused it. A narrative that asserts exposure to a sanctioned jurisdiction without naming the underlying transactions is not an acceptable assessment and will be returned by quality assurance.